MainBank AG - Credit Policy for Corporate Customers (Version 1)

Synthetic demo document for the FUTURY Build Days #4 Knowledge Transfer challenge. MainBank AG, its customers and all figures are invented.

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1. Purpose and scope

This Credit Policy (Kreditrichtlinie) sets the binding rules for new lending and for the ongoing management of credit exposures to corporate customers of MainBank AG. It applies to all small and mid-sized companies (Mittelstand) served by Corporate Banking in the Rhein-Main area, including term loans, working-capital lines (Kontokorrent), guarantees and project financing.

The policy is owned by Risk Management. It is binding for Corporate Banking (Markt), Credit Analysis (Marktfolge), Loan Operations (Kreditsachbearbeitung) and the Credit Committee (Kreditausschuss). Where this policy and a product manual differ, this policy prevails.

All thresholds in this document refer to the total exposure (Gesamtobligo) of the customer group, meaning the sum of all committed facilities of all companies belonging to the same group of connected clients, including the facility under decision.

2. Definitions

- Total exposure (Gesamtobligo): all committed facilities of the customer group, drawn or undrawn, including the new request.
- Internal rating: the result of the RatingTool on a scale from 1 (best) to 10 (default).
- DSCR (debt service coverage ratio, Kapitaldienstfähigkeit): cash flow available for debt service divided by interest plus scheduled repayments of the year.
- Equity ratio (Eigenkapitalquote): equity divided by total assets according to the latest annual financial statements.
- Debt/EBITDA: interest-bearing debt after the new facility divided by EBITDA of the latest financial year.
- LTV (loan-to-value, Beleihungsauslauf): loan amount divided by the lending value (Beleihungswert) of the collateral, not the purchase price.

3. Four-eyes principle and approval limits

Every credit decision requires two votes: a Markt vote by the responsible relationship manager in Corporate Banking and a Marktfolge vote by the credit analyst in Credit Analysis. Both votes are recorded in the credit memo (Kreditvorlage, form KV-02) in KreditPortal. A decision without both votes is invalid.

The approval authority depends on the total exposure of the customer group after the new facility:

- Up to EUR 1.0 million: four-eyes decision by the relationship manager and the credit analyst.
- Above EUR 1.0 million and up to EUR 3.0 million: the Head of Credit Analysis decides on the basis of the two votes.
- Above EUR 3.0 million: the Credit Committee decides.

Example: a customer with an existing term loan of EUR 1.0 million requests a working-capital line of EUR 0.8 million. The total exposure of EUR 1.8 million makes the Head of Credit Analysis the approver, although the new line alone is within the four-eyes limit.

A negative vote by either Markt or Marktfolge always moves the decision to the next higher level.

4. Minimum financial requirements for new business

New business and increases are only possible if the customer meets all of the following requirements on the basis of the latest annual financial statements:

- Equity ratio of at least 20%.
- DSCR of at least 1.10.
- Debt/EBITDA of at most 4.0x after the new facility.
- Internal rating between 1 and 6. No new business for ratings 7 to 10; existing exposures with these ratings are managed by Credit Analysis together with Risk Management.

The annual financial statements used for the decision must not be older than 12 months at the date of the decision. Statements count as too old when the most recent financial year ended more than 12 months before the decision date and the statements for that year are not yet on file. Example: for a financial year ending 2024-12-31, the FY2024 statements must be on file for every decision from 2026-01-01; until then the FY2023 statements are sufficient. If the statements are too old, the decision must wait for the new statements or be treated as an exception under section 8.

5. Collateral and loan-to-value

Collateral is valued at its lending value (Beleihungswert), which is set by Loan Operations according to the valuation manual. The following maximum LTV ratios apply to the lending value:

- Machinery and vehicles: at most 70% of the lending value (security transfer, Sicherungsübereignung).
- Real estate: at most 80% of the lending value (first-rank or second-rank mortgage, Grundschuld).
- Receivables: global assignment of receivables at the lending value set by Loan Operations.

Example: a term loan of EUR 1.0 million secured by a first-rank mortgage on a production hall with a lending value of EUR 1.5 million has an LTV of 67%, which is within the 80% limit for real estate.

6. Customer concentration

If a single customer of the borrower accounts for more than 40% of the borrower's revenue, the credit analyst must include a risk note in the credit memo (KV-02). The risk note describes the customer, the contract term and the consequences of losing the customer. No further analysis is prescribed by this policy; the analyst may add one at their discretion.

7. Credit memo and documentation

Every decision is based on a credit memo (form KV-02) prepared by the credit analyst in KreditPortal: request, purpose, analysis against section 4, collateral and LTV per section 5, rating, risk note per section 6 where applicable, and the two votes. Decisions above the four-eyes limit also carry the signature of the approver named in section 3.

8. Exceptions

A deviation from the requirements of sections 4 to 6 is possible in justified cases. The exception is decided by the Head of Credit Analysis and documented in the credit memo (KV-02) with the reason and the mitigating factors. No separate form is required. For exposures above EUR 3.0 million the Credit Committee decides on the exception together with the facility.

9. Annual review

Every corporate exposure is reviewed every 12 months. The review updates the rating in the RatingTool, checks section 4 against the new annual financial statements, confirms collateral and lending values, and is documented in KreditPortal with both votes. Material deterioration is reported to the Head of Credit Analysis.

10. Responsibilities and contacts

- Risk Management, Dr. Katrin Lorenz (Head of Risk Management, Chief Risk Officer): owner of this policy, interpretation questions.
- Credit Analysis, Stefan Krüger (Head of Credit Analysis): approver up to EUR 3.0 million, decides exceptions under section 8.
- Credit Analysis, Dr. Petra Hoffmann (Senior Credit Analyst): Marktfolge vote, credit memos.
- Corporate Banking, Claudia Weber (Head of Corporate Banking); relationship managers Martin Scholz and Daniel Fischer: application and Markt vote.
- Credit Committee, Jochen Richter (Management Board, chair): decisions above EUR 3.0 million.
- Loan Operations, Sabine Neumann (Head of Loan Operations): lending values, contracts, collateral registration, disbursement.
- Questions on this document: Risk Management via MainWiki, page "Kreditrichtlinie".